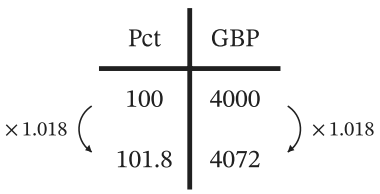
5 Luke invested £4000 in a savings account for 3 years.
Compound interest was paid at a rate of 1.8% each year.

Alexa also invested £4000 in a savings account for 3 years.
Simple interest was paid at a rate of 1.8% each year.

Luke got more interest than Alexa in total over the 3 years.

How much more?
You must show all your working.

1 mark
Find 1.8% increase.



× 1.018 each year

1 mark
Compound 3 years.

Luke: £4000 × 1.018^3 = £4219.911328

Compound interest = £219.911328

Alexa: £4000 × 0.018 = £72 per year

1 mark
Fixed yearly interest.

Simple interest = £72 × 3 = £216

Difference = £219.911328 – £216 = £3.911328

1 mark
£3.91.

= £3.91 more

£.....

(Total for Question 5 is 4 marks)